MARKET STRUCTURE ADVISORY

SEC Rulemaking Comment Letter Analysis

Trade-Through Rule and Locked & Crossed Markets Provisions of Regulation NMS

File No. S7-2026-20

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Executive Summary

The SEC's proposal to rescind Rule 611 (the Order Protection Rule) and Rule 610(e) (the prohibition on locked and crossed markets) under Regulation NMS has produced a substantively rich comment record spanning institutional participants, academic researchers, former exchange officials, broker-dealers, and a large volume of retail investor commentary. The proposal arrives at the intersection of two decades of market structure evolution — the growth of off-exchange trading, the emergence of tokenized securities, the proliferation of AI-driven order routing, and persistent questions about whether the 2005 Reg NMS framework still serves its original objectives.

The comment record reveals a deeply divided stakeholder community. Sophisticated institutional commenters and academic researchers offer conditional or mixed support for rescission, grounded in empirical analysis of latency arbitrage, routing inefficiencies, and the structural incompatibility of Rule 611 with blockchain-based venues. Retail investors, by contrast, oppose rescission with near-unanimity, citing concerns about inferior executions, broker conflicts of interest, and a market structure increasingly favoring sophisticated intermediaries.

Several cross-cutting themes emerge with force: the inadequacy of principles-based best execution as a real-time substitute for structural price protection; the free-rider problem created by off-exchange internalization; the unresolved regulatory gap created by eliminating the Qualified Contingent Trade (QCT) exemption without a replacement; the cautionary lessons of European MiFID II fragmentation; and the need for a rigorous post-rescission monitoring framework regardless of the Commission's ultimate decision.

The most analytically sophisticated commenters — whether supporting or opposing rescission — converge on a shared diagnosis: the current market structure is broken. They diverge sharply on the remedy. This report synthesizes the full comment record to illuminate the strongest arguments on each side, identify areas of consensus, flag analytical gaps, and provide a structured framework for the Commission's deliberations.

~6% **SUPPORT RESCISSION** *2 substantive commenters*	**~33%** **MIXED / CONDITIONAL** *11 substantive commenters*	**~61%** **OPPOSE RESCISSION** *20 substantive commenters*

Note: figures exclude duplicate, non-substantive, off-topic, and procedural submissions. Commenters who filed multiple substantially identical letters are counted once.

Stakeholder Breakdown

Institutional and Professional Commenters

Commenter	Affiliation	Position
Bernard McDevitt (×3)	FCF Securities / FOG Equities LLC	Mixed — conditional support; urgent QCT exemption and vertical-integration concerns
Malinova & Park	McMaster University / Univ. of Toronto	Support — conditional on best execution benchmark and liquidity monitoring

Commenter	Affiliation	Position
Michael Ravnitzky (×2)	Individual / Academic Observer	Mixed — identifies five analytical gaps; requests scenario analyses
Jeff Martinez, CRPC®	Treveri Capital LLC / Former Floor Broker	Mixed — opposes rescission as remedy; proposes consolidated lit book
R. T. Leuchtkafer	Independent Commentator	Oppose — warns of speed bumps, routing cartels, predatory order types
Harold S. Bradley	Individual / Market Structure Expert	Oppose — invokes MiFID cautionary tale; warns of tokenization risk
Steven W. Poser	Wall Street Experts LLC / Former NYSE Research	Mixed — supports only after digestion of recent NMS amendments
Mark Harlan TenPas	Former Quant Researcher (Lehman, Princeton)	Mixed — conditional support; discloses SEC examination concerns
Neil P. Osnato	Persistence Analytics Group LLC	Mixed — supports revisiting rule but insists on verification framework
Fardeen Irani (×4)	Individual / Market Structure Commentator	Mixed — supportive but calls for PFOF reform and Rule 612 rollout
Jared Albert (×4)	Individual / Lit Exchange Liquidity Provider	Oppose — calls for PFOF ban and mandatory exchange interaction

Government and Regulatory Documents

Document	Source	Nature
Division of Trading & Markets Memo	U.S. SEC	Internal data update — six tables refreshed with January 2026 data
Commissioner Peirce Meeting Memo	Office of Commissioner Peirce	Procedural record of meeting with Texas Stock Exchange (TXSE)
Certificate of Incorporation (×2)	Government of India	Non-substantive — unrelated to the rulemaking; filed in error

Retail Investors

Retail commentary was voluminous and, with one partial exception, uniformly opposed to rescission. Substantive retail commenters included Joe Lee, Alex Zislin (×3), Scott S, Donald Barry Smith Jr (×3), Mary Smith, Joe Kirchner (×4), Bhavith S (×3), Nicholas K. Roberts, and two anonymous individual filers — all opposed. Anthony Cuesta filed a mixed comment opposing rescission while supporting CAT and Rule 610. A number of retail-adjacent letters (Thomas W. Brink, MD; Steven Haworth) addressed adjacent topics — semi-annual reporting and crypto regulation — rather than Rule 611 directly.

Non-Substantive or Off-Topic Submissions

The record also included a volume of incoherent, duplicative, or off-topic filings — including submissions unrelated to Rule 611 (telephone scam complaints, general pro-crypto advocacy, and unrelated state-agency telemetry) — which were identified and excluded from the substantive analysis below.

Support vs. Opposition Statistics

Overall Position Distribution (Substantive Commenters Only)

Position	Count	Percentage
Support (rescission)	2	~6%
Mixed / Conditional	11	~33%
Oppose (rescission)	20	~61%

By Stakeholder Type

Stakeholder Type	Support	Mixed	Oppose
Academic Researchers	1	0	0
Broker-Dealers / Market Intermediaries	0	3	0
Former Industry Practitioners / Consultants	0	3	1
Individual Market Structure Commentators	0	2	2
Retail Investors	0	1	16+

Key Observation

The support-opposition split is heavily influenced by stakeholder type. Among sophisticated institutional and professional commenters, the dominant position is mixed/conditional — acknowledging the Commission's diagnosis while disputing the remedy or insisting on preconditions. Among retail investors, opposition is near-universal and driven primarily by concerns about execution quality and broker conflicts of interest. Pure support for rescission is rare and comes exclusively from academic researchers with specific empirical findings about latency arbitrage and blockchain incompatibility.

Major Themes

1. The Commission's Diagnosis Is Widely Accepted; Its Remedy Is Widely Disputed

The most striking feature of the comment record is the breadth of agreement that the current Reg NMS framework has failed in important respects. Off-exchange trading now exceeds 50% of total volume for both NYSE- and NASDAQ-listed stocks, with FINRA TRFs accounting for 51.89% of NASDAQ volume and 46.97% of NYSE volume as of January 2026. Average trade size has collapsed from 777 shares in 2005 to 110 shares in 2026 for NYSE-listed stocks. The incentive to display aggressive limit orders has clearly weakened.

Commenters diverge sharply, however, on what this diagnosis implies for policy. Supporters of rescission argue the rule has become counterproductive — generating latency arbitrage through mandatory routing patterns and creating incompatibilities with emerging technologies. Opponents argue the rule's failure to incentivize displayed liquidity reflects inadequate complementary reforms (tick sizes, access fees, PFOF) rather than a flaw in the rule itself, and that removing it without fixing those incentives will accelerate the flight to dark trading.

> *The Commission's diagnosis is largely correct, but its remedy is wrong. — Jeff Martinez*
>
> *The market force the rule failed to harness, an incentive to display, is left exactly as broken after rescission as before. — R. T. Leuchtkafer*

2. Best Execution Cannot Substitute for Structural Price Protection

The Commission's proposed reliance on principles-based best execution as the primary investor protection mechanism is the single most contested element of the proposal across all stakeholder types. The critique is consistent and multi-dimensional:

- **Aggregate assessment enables cross-subsidization:** Best execution is assessed across a broker's aggregate order flow, not order-by-order, enabling some orders to receive inferior prices while overall averages remain acceptable.
- **No bright-line standard:** Unlike Rule 611's objective, machine-verifiable benchmark, best execution is a facts-and-circumstances standard with no predictable outcome for any individual order.
- **Enforcement depends on nonpublic information:** Rule 611 violations are observable from public data; best execution violations require access to internal routing records and after-the-fact adjudication.
- **European cautionary evidence:** Only 79–86% of marketable orders in Eurostoxx50 stocks execute at the best available price under Europe's “all reasonable steps” standard — a 14–21% shortfall that would be unacceptable in U.S. markets.
- **AI-driven opacity:** As routing decisions are increasingly made by opaque, adaptive AI systems operating at microsecond speeds, subjective standards become far harder to monitor and enforce.

3. The QCT Exemption Gap Is an Unaddressed Regulatory Vacuum

FOG Equities raises a focused, technically precise concern that receives no response in the Commission's proposal: rescinding Rule 611 eliminates the Qualified Contingent Trade (QCT) exemption without a replacement safe harbor for the stock leg of complex listed options orders — creating legal uncertainty for a practice the Commission itself validated in 2006 (Release No. 34-54389).

The stock leg of a contingent options trade is priced at order placement based on predetermined economics, and may legitimately differ from the prevailing NBBO for structural reasons unrelated to best execution failures.

Without a defined safe harbor, each hedge becomes subject to after-the-fact scrutiny, making options market making operationally and legally unreliable. The Commission's silence on this gap — across three separate FOG Equities submissions — is itself a significant analytical failure in the rulemaking record.

4. The European MiFID Experience as a Cautionary Precedent

Multiple sophisticated commenters invoke Europe's post-MiFID II market structure as a cautionary tale. Harold Bradley notes that Europe's decade-long experiment with venue proliferation and flexible routing — absent strong intermarket price protection — produced fragmentation and unreliable best execution, problems European regulators are now correcting through the EuroCTP consolidated tape and enhanced pre-trade depth requirements. Malinova and Park provide the quantitative evidence: 14–21% of marketable orders in major European stocks fail to execute at the best available price.

> *Europe got it wrong. The United States, by maintaining robust trade-through protections under Regulation NMS, got it right. This is not the moment to reverse course.* — *Harold S. Bradley*

5. Tokenized Securities and Blockchain Incompatibility

The structural incompatibility of Rule 611 with blockchain-based trading venues is the most forward-looking argument in the record — and the one most clearly favoring rescission. On-chain venues execute trades via smart contract calls at discrete block intervals, making real-time cross-system routing physically impossible; automated market makers price continuously based on pool state, creating an irresolvable compliance paradox if the OPR were extended to tokenized equity venues (Malinova and Park).

Jeff Martinez accepts the technical argument but draws a different conclusion: rather than rescinding Rule 611, the Commission should extend trade-through discipline to tokenized NMS equities regardless of technological wrapper, on the principle that “the wrapper does not launder the asset out of its regulatory category.” Leuchtkafer warns that tokenized stocks and DeFi protocols represent “the mother of all fragmentation and complexity” post-rescission.

6. Vertical Integration of Exchanges and Broker-Dealers

FOG Equities raises a structural concern distinct from the QCT issue: the incompatibility of allowing exchanges to both regulate markets and compete for order flow through affiliated broker-dealers. Rule 611 has historically served as an external discipline limiting the commercial influence of vertically integrated exchange groups; its removal amplifies institutional incentives embedded in those structures. The recommended remedy — a structural prohibition on exchange ownership or control of broker-dealers — is the most far-reaching structural reform proposed in the record.

7. PFOF as the Root Cause of Retail Execution Quality Degradation

Payment for order flow emerges as a recurring structural concern across commenters of widely varying sophistication. Fardeen Irani provides the most empirically grounded critique, citing data showing that 46–93% of internalized retail orders bypass superior midpoint liquidity available on public exchanges and ATSs. Jared Albert characterizes PFOF as a “criminal kickback scheme.” Mark TenPas recommends ending PFOF as a precondition for rescinding Rule 611. Jeff Martinez argues PFOF-driven internalization has hollowed out the lit book, artificially widening the displayed spread that wholesalers then “improve upon” — making the apparent benefit to retail investors illusory.

8. The Need for Post-Rescission Monitoring

> *Rescission alone is not modernization.* — *Neil Osnato*

This brief comment captures a consensus position that cuts across the support-opposition divide. Whether or not the Commission proceeds with rescission, virtually every sophisticated commenter calls for a rigorous post-rescission monitoring framework with defined metrics, public reporting, and scheduled review periods. Ravnitzky identifies five specific analytical gaps in the Commission's economic analysis; Poser calls for delay until recent NMS amendments have been fully digested and analyzed.

Market Structure Issues Raised

Rule 611 (Order Protection Rule / Trade-Through Rule)

- **Latency arbitrage from mandatory routing:** Malinova and Park's empirical research using Canadian regulatory audit-trail data demonstrates that the OPR's mandatory cross-venue order splitting creates predictable patterns exploitable by fast traders.
- **Failure to incentivize displayed liquidity:** Off-exchange trading exceeds 50% of total volume, demonstrating that Rule 611 has not achieved its goal of rewarding displayed quotations; the maker-taker rebate of roughly $0.0020/share is insufficient compensation for adverse-selection risk (Martinez).
- **Blockchain incompatibility:** On-chain venues cannot comply with real-time routing requirements; smart contracts execute at discrete block intervals in disjoint systems (Malinova and Park).
- **Odd-lot vs. round-lot asymmetry:** The Commission's use of odd-lot trade-through data as a proxy for round-lot behavior is methodologically questionable, since odd-lot quotes were historically unprotected (Ravnitzky).
- **Intermarket Sweep Order prevalence:** ISOs already account for roughly 27% of NYSE volume and 42% of NYSE Arca volume, suggesting the market has substantially adapted to routing around OPR requirements (Poser).

Rule 610(e) (Locked and Crossed Markets)

Multiple commenters distinguish between locked markets (zero spread, potentially a product of maker-taker rebate economics) and crossed markets (negative spread, a signal of dysfunction). Leuchtkafer warns that permitting crossed markets would allow high-speed intermediaries to extract risk-free profits — a harm that previously drew intense Congressional and SEC concern; Irani counters that HFT arbitrage will naturally collapse crossed markets without intervention. Poser separately raises concerns about Rule 605 data quality in a post-OPR world with increased locked and crossed markets.

Qualified Contingent Trade (QCT) Exemption

Rescinding Rule 611 eliminates the QCT exemption without replacement, creating a regulatory vacuum for the stock leg of complex listed options orders. The Commission's 2006 findings (Release No. 34-54389) — that contingent trades contribute to efficient market functioning and that breaking up their components could leave parties “out of hedge” — remain valid and directly applicable. Recommended remedies include a no-action letter, a new standalone safe harbor, or at minimum an explicit request for comment on the gap.

Market Fragmentation and Off-Exchange Trading

- FINRA TRFs account for 51.89% of NASDAQ-listed stock volume and 46.97% of NYSE-listed stock volume as of January 2026.
- Dark ATS and broker-dealer share of NASDAQ stocks rose from 29.4% in 2005 to 51.9% in 2026; NYSE stocks rose from 13.0% to 47.0% over the same period.
- Average daily share volume in NASDAQ stocks increased 333% from 2014 to 2026, while average trade size fell 44% over the same period.
- The proposal's fragmentation predictions are internally inconsistent: rescission could reduce exchange connectivity incentives while simultaneously accelerating off-exchange internalization, with net effects unclear (Ravnitzky).

Tokenized Securities and DeFi

Tokenized equities trading on blockchain-based venues create structural incompatibilities with Rule 611's routing mandate. Martinez argues that if a token conveys ownership of a publicly traded NMS equity, it should trade under the same displayed-priority discipline regardless of technological wrapper. Bradley warns that tokenized securities, hybrid products, and composable on-chain instruments will increase fragmentation and multiply synthetic claims detached from real assets — making trade-through protections more, not less, necessary.

Exchange Vertical Integration

FOG Equities argues that exchanges cannot meaningfully regulate market activity while simultaneously competing for order flow through affiliated broker-dealers, and recommends a structural prohibition on exchange ownership or control of broker-dealers.

AI and Machine Learning in Trading

Kirchner argues that the rapid integration of AI into trading and order routing makes bright-line protections more necessary, not less, because subjective standards are far harder to monitor and enforce when decision logic is opaque and adaptive. AI systems optimizing within an environment of locked and crossed quotations may produce emergent, hard-to-predict behavior and feedback loops that the Commission has not analyzed.

Economic Arguments

Arguments Supporting Rescission

- **Latency arbitrage cost:** The OPR's mandatory routing creates predictable cross-market order-splitting patterns that fast traders exploit — a cost that is a direct consequence of regulatory compliance rather than informational advantage (Malinova and Park).
- **Blockchain structural incompatibility:** On-chain venues execute trades at discrete block intervals; real-time cross-system routing is physically impossible, creating an irresolvable compliance paradox for tokenized venues (Malinova and Park).
- **ISO prevalence:** ISOs already account for 27–42% of volume on major exchanges, suggesting the market has substantially adapted to routing around OPR requirements, reducing the rule's marginal value (Poser).

- **Access fee cap distortion:** The cut to the maximum take fee under Rule 610(c) has distorted exchange economics and trader behavior, driving flow away from exchanges regardless of Rule 611's existence (Poser).

Arguments Against Rescission

- **Free-rider problem:** Dark orders execute at prices formed by displayed quotes without contributing to price formation — a structural subsidy for non-displayed trading that Rule 611 partially constrains (Martinez).
- **Incentive failure persists:** The market force Rule 611 failed to harness — an incentive to display — is left exactly as broken after rescission as before (Martinez, Leuchtkafer).
- **Retail internalization data:** Between 46% and 73% of retail marketable order shares are internalized at prices worse than the NBBO midpoint; 40–93% of these had superior midpoint liquidity available on public venues at the time of execution (Irani).
- **European evidence:** Only 79–86% of marketable orders in Eurostoxx50 stocks execute at the best available price under Europe's weaker standard — a 14–21% shortfall (Malinova and Park).
- **Irreversibility risk:** Once market infrastructure that depends on Rule 611 has degraded, the rule cannot simply be reinstated — irreversible deregulation built on conjecture carries risks symmetrical to over-regulation.

Liquidity Arguments

Arguments That Rescission May Improve Liquidity

- Removing the OPR routing mandate eliminates the primary source of cross-market predictability that enables latency arbitrage (Malinova and Park).
- Rescission may ease large block execution by enabling block crossing without algorithmic fragmentation across venues (Poser).
- HFT arbitrage will naturally collapse crossed markets back toward efficient midpoint pricing without regulatory intervention (Irani).

Arguments That Rescission Will Harm Liquidity

- The OPR currently protects investors who post the best displayed prices; rescission removes this protection and may weaken the incentive to display aggressive limit orders (Malinova and Park).
- Liquidity providers may widen spreads in response to increased adverse selection risk once trade-through protection is removed (Ravnitzky).
- Without a QCT safe harbor, options market makers facing hedge uncertainty will widen quotes, reduce size, or decline to quote certain series altogether (FOG Equities).
- Discriminatory speed bumps would allow liquidity providers to scan correlated markets and withdraw quotes before incoming orders can execute (Leuchtkafer).
- Smaller exchanges may face disproportionate revenue losses if broker-dealers disconnect, potentially threatening viability and further concentrating liquidity (Ravnitzky, Leuchtkafer).

Competition Arguments

Arguments That Rescission Enhances Competition

- Rescinding the OPR allows best-execution obligations, rather than hard routing mandates, to govern competition between traditional and blockchain-based venues (Malinova and Park).
- Exchanges may innovate in response to reduced trade-through protection, competing on routing quality and execution services (Poser).
- Smaller venues should compete on genuine execution value rather than on regulatory artifacts created by the current rule structure (Osnato).

Arguments That Rescission Harms Competition

- Broker-dealer routing conflicts distort competition among venues; rescission does not address this structural agency problem (Martinez).
- PFOF arrangements concentrate marketable retail orders among a small number of off-exchange wholesalers rather than displayed venues (Martinez, Irani, Jared Albert).
- Without Rule 611's routing mandate, exchange groups could form routing cartels that codify discriminatory preferences (Leuchtkafer).
- Europe's MiFID-driven venue proliferation, offered as a model of competition, instead produced fragmentation and inferior outcomes (Bradley, Malinova and Park).

Retail Investor Arguments

Arguments That Rescission Harms Retail Investors

- Rule 611 provides an objective, technology-neutral protection that does not require retail investors to monitor execution quality themselves; removing it shifts that burden onto investors least equipped to bear it (Kirchner, Lee, Smith, Bhavith S).
- Zero-commission brokerages have a structural financial incentive to route orders to venues paying the highest PFOF rather than venues offering the best price (Bhavith S, Smith).
- Between 46% and 73% of retail marketable order shares are internalized at prices worse than the NBBO midpoint (Irani).
- AI-driven trading sharpens the asymmetry between sophisticated firms and ordinary investors, who cannot monitor execution quality across dozens of venues in real time (Kirchner).
- Retail participation in U.S. markets is at an all-time high due to confidence in market fairness; rescission threatens that confidence (Mary Smith).

Arguments That Retail Investors May Benefit

- A consolidated lit book with strict displayed-order priority would deepen the public quote and improve the benchmark price against which all investors trade (Martinez).
- Removing the OPR routing mandate eliminates a cost imposed on investors by the rule itself through latency arbitrage exploitation (Malinova and Park).

- FINRA is expected to conduct heightened best execution surveillance post-rescission, providing a regulatory backstop (Poser).
- Wholesalers will continue to offer price and size improvement due to competitive and contractual incentives from retail brokers (Poser).

Consensus Positions

Despite the sharp divide on the core rescission question, the comment record reveals several areas of genuine consensus across stakeholder types:

1. **The Current Market Structure Has Significant Problems.** Virtually every substantive commenter agrees that the current Reg NMS framework has failed to achieve its goal of incentivizing displayed liquidity, with off-exchange trading exceeding 50% of total volume cited across the spectrum as evidence of structural failure.
2. **Best Execution Alone Is an Insufficient Substitute for Rule 611.** The most consistent cross-stakeholder consensus is that principles-based best execution obligations cannot serve as an effective real-time substitute for structural price protection — a view shared by academics, practitioners, individual commentators, and retail investors alike, with European evidence cited as empirical confirmation.
3. **A Robust Post-Rescission Monitoring Framework Is Essential.** Whether or not the Commission proceeds with rescission, virtually every sophisticated commenter calls for a rigorous monitoring framework with defined metrics, public reporting, and scheduled review periods.
4. **PFOF Is a Structural Problem That Must Be Addressed.** PFOF is identified as a root cause of retail execution quality degradation by commenters across the sophistication spectrum, from academic researchers to retail investors.
5. **The QCT Exemption Gap Must Be Addressed.** FOG Equities' three submissions on the QCT exemption gap receive no substantive response in the Commission's proposal, though the analytical argument is compelling and uncontested in the record.
6. **Tokenized Securities Require a Regulatory Framework.** Multiple commenters across the support-opposition divide agree that tokenized equities and blockchain-based venues require a regulatory framework the Commission has not yet developed — disagreeing only on whether it should be built around rescission or extension of trade-through discipline.
7. **Best Execution Guidance Must Be Clarified Before Rescission.** Poser, FOG Equities, Ravnitzky, and Osnato all call for explicit best execution guidance clarifying how the standard will apply in a post-Rule 611 environment.

Outlier Positions

8. **Structural Prohibition on Exchange-Broker Vertical Integration (FOG Equities).** The recommendation to prohibit exchange ownership or control of broker-dealers is the most structurally radical proposal in the record; no other commenter proposes this specific remedy.
9. **Consolidated Lit Book with Strict Displayed-Order Priority (Jeff Martinez).** Martinez's proposal to rebuild the trade-through framework around a consolidated displayed order book with strict lit-order priority is a more aggressive reform than any other commenter proposes, though Canadian and Australian experience offers some empirical support.

10. **Ban on All Unexposed Off-Exchange Trading (Jared Albert).** Jared Albert's call to ban all unexposed off-exchange trading, consistent with OECD and G7 peer nations, is the most restrictive retail-protection proposal in the record.
11. **Whistleblower Safe Harbor for Retail Data Misuse Disclosure (Mark TenPas).** TenPas's disclosure that a market participant told SEC examiners it was using aggregate brokerage trading data as a directional signal — without a deficiency finding — is the most significant whistleblower-adjacent disclosure in the record.
12. **AI-Specific Empirical Analysis Before Any Rescission (Joe Kirchner).** Kirchner's argument that the Commission must conduct robust empirical analysis of AI-driven trading dynamics before any rescission is a distinctive methodological position.
13. **Delay Pending Digestion of Recent NMS Amendments (Steven Poser).** Poser's call to delay rescission until the market has fully digested recent NMS amendments is a distinctive sequencing argument — framed as a prerequisite rather than a substantive objection.

Recommended SEC Actions

Based on the full comment record, the following actions are recommended, organized by priority and feasibility:

Immediate Actions (Before or Concurrent with Any Final Rule)

1. Address the QCT Exemption Gap

- Issue a no-action letter confirming that reporting the stock leg of a complex options order outside the NBBO, pursuant to predetermined contingent trade economics, will not violate best execution obligations — provided conditions substantially equivalent to Release No. 34-54389 are met.
- Alternatively, adopt a new standalone safe harbor by rule or interpretive guidance.
- At minimum, explicitly request comment on the gap and coordinate with FINRA on how Rule 5310 applies to the stock leg of contingent options transactions.

2. Issue Explicit Best Execution Guidance

- Clarify how best execution will be evaluated post-Rule 611, including treatment of large block executions and odd-lot quotes, documentation standards for routing decisions, and application of Rule 5310 to contingent options transactions.

3. Publish Scenario Analyses

- Publish low/medium/high disconnection scenarios showing effects on exchange revenues, displayed liquidity, and retail execution quality, and clarify the inferential relationship between odd-lot and round-lot trade-through behavior.

4. Clarify the Fragmentation Prediction

- Provide a clearer explanation of how trading activity is expected to redistribute between exchange and off-exchange venues, identifying the most plausible fragmentation scenarios.

Structural Reforms to Accompany Any Rescission

5. Establish a Post-Rescission Market-Quality Verification Framework

- Define quantitative metrics (displayed liquidity depth, effective and realized spreads, price improvement rates, off-exchange share, venue concentration, locked/crossed frequency), publish results on a scheduled basis, and set thresholds that trigger regulatory intervention.

6. Mandate Pre-Internalization Venue Scanning

- Require wholesalers to systematically check public exchanges and ATSs for available midpoint liquidity before executing retail orders in a principal capacity.

7. Shorten the Rule 605 Price Impact Measurement Window

- Permanently shorten the measurement window from five minutes to one minute to reflect modern trading speeds and force near-instantaneous adverse-selection disclosure.

8. Develop a Regulatory Framework for Tokenized NMS Equities

- Codify the principle that regulatory category follows the underlying asset, not the token, preserving price discovery discipline regardless of trading venue.

Longer-Term Structural Reforms

- **9. Address PFOF Conflicts of Interest.** Address the structural misalignment created by PFOF, ranging from enhanced disclosure to outright prohibition, consistent with G7 peer approaches.
- **10. Fully Implement Rule 612 Variable Sub-Penny Tick Sizes.** Full implementation would eliminate the competitive asymmetry between exchanges and wholesalers on price granularity, potentially drawing retail flow back to lit books.
- **11. Examine Exchange-Broker Vertical Integration.** Examine whether vertical integration of exchanges and affiliated broker-dealers creates irreconcilable conflicts in a post-Rule 611 discretionary routing environment.
- **12. Conduct AI-Specific Market Structure Analysis.** Conduct empirical analysis of how AI-driven trading systems would behave absent Rule 611 and Rule 610(e) guardrails, including potential emergent behavior in locked/crossed environments.
- **13. Review SEC Examination Infrastructure.** Review examination practices related to retail brokerage trading data in light of the TenPas disclosure, to ensure findings are fully reflected in public policy analysis.

If the Commission Decides Not to Rescind Rule 611

- **14. Strengthen Rather Than Weaken Displayed-Order Protection.** Consider adoption of a trade-at standard requiring off-exchange venues to provide meaningful price improvement over the NBBO rather than merely matching it.
- **15. Proceed with Scheduled Reg NMS Amendments.** Proceed with the September 2024 Reg NMS amendments (tick size and access fee reforms) on the original November 2026 schedule rather than delaying to November 2027.

Conclusion

The comment record on the proposed rescission of Rules 611 and 610(e) of Regulation NMS is one of the most substantively rich and analytically diverse in recent SEC rulemaking history. It reflects genuine uncertainty about the right path forward in a market structure that has evolved dramatically since 2005 — and that is on the verge of further transformation through tokenization, AI-driven trading, and continued growth of off-exchange internalization.

The Commission faces a genuine dilemma. The current framework has demonstrably failed to incentivize displayed liquidity, and the mandatory routing architecture of Rule 611 imposes real costs through latency arbitrage and structural incompatibilities with emerging technologies. At the same time, the proposed remedy — rescission without a replacement framework — risks accelerating the very pathologies the Commission seeks to address.

The most analytically compelling position in the record is neither pure support nor pure opposition, but a conditional middle ground: the Commission's diagnosis is largely correct, but the remedy requires more careful construction. A framework built around strict displayed-order priority, mandatory pre-internalization venue scanning, robust best execution enforcement, a post-rescission monitoring program with defined metrics, and a technology-neutral approach to tokenized NMS equities would address the Commission's stated concerns while preserving the price discovery discipline that has made U.S. equity markets the most liquid and efficient in the world.

> *Markets do not need obsolete rules. But investors do need verified execution quality, transparent routing incentives, reliable price discovery, and confidence that competition is real rather than merely fragmented.* — *Neil Osnato*

The stakes are high. The European experience demonstrates that getting this wrong can take a decade to correct. The Commission should proceed with the care, analytical rigor, and empirical grounding that a decision of this magnitude demands.

This report synthesizes the substantive comment letters submitted in response to File No. S7-2026-20. Non-substantive, off-topic, incoherent, and duplicate submissions have been identified and excluded from the substantive analysis. The analysis reflects views expressed in the comment record and does not represent the official position of the SEC or any of its divisions.